

4 More Money Pits to Avoid

- 1. Vacation properties and lake houses.** First, there's the purchase price, which can be anywhere from \$200,000 to millions of dollars, if you want a prime waterfront location in Cape Cod or Lake Tahoe. But upkeep alone could take away a big chunk of your income. Think about it: You are stocking another house with food, furniture, and bedding. Then, you're spending hundreds of dollars a month in gas to drive for several hours every weekend. Not to mention the utilities, taxes, insurance, road maintenance, docking fees, and the care and maintenance of a boat, if necessary. Some estimates say that basic lake-house upkeep takes a minimum of \$10,000 a year, not including money set aside for emergencies, such as a new roof or dock. My lake house is one of my single biggest expenses, and while I hate writing those checks for the boathouse renovations, I love dangling my feet in the water. But I don't kid myself. It's not an investment, it's an indulgence.